

**TITLE Of PAPER: CONTRIBUTION OF BANCASSURANCE ON THE
PERFORMANCE OF BANK: A CASE STUDY OF ACQUISITION OF
SHARES IN MAX NEW YORK LIFE INSURANCE BY AXIS BANK**

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CONTRIBUTION OF BANCASSURANCE ON THE PERFORMANCE OF BANK: A CASE STUDY OF ACQUISITION OF SHARES IN MAX NEW YORK LIFE INSURANCE BY AXIS BANK

ABSTRACT

Emerging markets around the world has changed due to liberalization, globalization and privatization. This has brought with it various risks and challenges to financial industry during couple of years. Bancassurance is a new concept in financial industry where bank and insurance company collaborate to provide insurance in the market through bank's distribution networks. Due to liberalization, the financial industry has used this growth strategy to best utilize their same channels to sell multiple financial products. In India a number of banks have joined hands with insurance companies and vice versa to use this bancassurance model to sell selected products. It has become a win-win strategy because banks earn profits by selling insurance products through low cost of infrastructure and better prices of products. Insurance companies get the benefit of distribution channels through bank branches which help them to sell their products in a convenient way. The success of this Bancassurance mostly depends on banker-customers relationship over a period of time, which motivates them to purchase insurance products apart from banking products and services. The purpose of the study is to understand and analyze the benefit of Bancassurance to Axis bank because of acquiring the Max New York Life Insurance Co. Ltd. It is a case study method of research. It is found that after acquiring the stake in Max New York Life Insurance, the financial performance of Axis Bank has improved. But in the short term there is no impact visible in the stock market due this acquisition.

Keywords: Merger, Bancassurance, Bank, Insurance, Performance

Paper Type: Case Study

1. INTRODUCTION

The term ‘Bancassurance’ denotes to the selling of insurance policies through a bank. In this process, the bank and insurance company collaborate to provide insurance in the market through bank’s distribution networks. Due to increase in competition after liberalization, the financial industry has used this growth strategy to best utilize their same channels to sell multiple financial products. Bancassurance has become significant around the world, specifically in European countries. It has got its importance in Indian market too. In India a number of banks have joined hands with insurance companies and vice versa to use this Bancassurance model to sell selected products. It has become a win-win strategy because banks earn commission by selling insurance products through low cost of infrastructure and better prices of products. Insurance companies get the benefit of distribution channels through bank branches. It helps them to sell their products in a convenient way. The success of this model mostly depends on banker-customers relationship over a period of time. This relationship motivates them to purchase insurance products apart from banking products and services.

The rest of the paper is organized as follows: Section 2 provides background of the topic, definition and concepts relating to various aspects of the study. This Section also discusses the empirical literature on mergers and acquisitions and Bancassurance and closes with the rationale of the study. Section 3 provides the overview of research methodology focusing on the Objective of Study, Period of Study, Data and Sample for Analysis, Tools and Variables for Analysis and Sample Characteristics. Summary of empirical results and conclusion is shown in Section 4 and 5 respectively.

2. BACKGROUND

The performance of the company indicates the progress of an industry. It plays a prominent role towards the growth and development of an economy (Bawa and Chattha, 2013). This section discusses on the scenario of banking and insurance industry, their characteristics, meaning and benefits of Bancassurance, relationship between bank and insurance company through Bancassurance, factors

affecting the performance of banking and insurance industry, reasons for partnership through Bancassurance (and M&A) between bank and insurance company.

a. Banking and Insurance Industry

India was ranked as the 10th largest insurance market in the world during the year 2013, which was earlier 15th rank in the year 2011. But when compared with the world's major economies in terms of market size of US\$66.4 billion in 2013, it is considered as small market. Indian insurance market contributes 2% towards the world's yearly insurance business. There is double digit growth in both in life and non-life insurance industry India and this growth rate is predicted to last till 2021.¹ The banking industry is characterized by (a) government's involvement and interference (b) restrictions on amounts of borrowing and deposits (c) government role influence bank's profitability. Today the insurance industry is characterized by (a) differentiated products/ standardized life insurance products (b) flexible premium (c) high coverage rates in all business lines. The Overview of Banking and Insurance Industry in India is depicted in Table I as below:

Table I Overview of Banking and Insurance Industry in India

Criteria	Banking Industry	Insurance Industry
Regulators	Reserve Bank of India (RBI)	Insurance Regulatory and Development Authority (IRDA)
Number	All Scheduled Commercial Banks : 89 (2012-13) Public Sector Banks : 26 SBI and its Associates: 6 Nationalised Banks: 20 Private Sector Banks: 20 Old Private Sector Banks : 13	General insurance companies: 28 Life insurance companies: 24

¹ Economy of India, http://en.wikipedia.org/wiki/Economy_of_India, retrived on 11th February 2014

Criteria	Banking Industry	Insurance Industry
	New Private Sector Banks: 7 Foreign Banks: 43	
FDI limit	Public Sector Banks: 20% of equity Private Sector Banks: 74% of equity	49% (26% earlier)
Largest player	SBI and its Associates	Life Insurance Corporation of India
Listing on Indian Stock Exchange	Banks are listed in Bombay Stock Exchange (BSE), National Stock Exchange (NSE)	None of the insurance companies are listed on Indian stock exchange as of now
Relevant Stock Indices	S & P BSE BANKEX Nifty Bank index, CNX Bank Index	N/A ²
Relevant Acts	Reserve Bank of India Act, 1934 Banking Regulation Act, 1949	Insurance Act, 1938 Insurance Regulatory Development Authority Act, 1999
Source: Author's Compilation from various online sources		

b. Definition of Bancassurance

Bancassurance is the marketing of retail insurance products to a commercial bank's client base. Bancassurance is a simple method of banks' distributing insurance products. Thus, many financial products and services are provided in the same platform (Benoist, 2002); (Kumar, 2000); (Davis, 2007).

c. Benefits of Bancassurance

The benefits of Bancassurance are shown in the Table II as below:

Table II Benefits of Bancassurance

Particulars	Benefits
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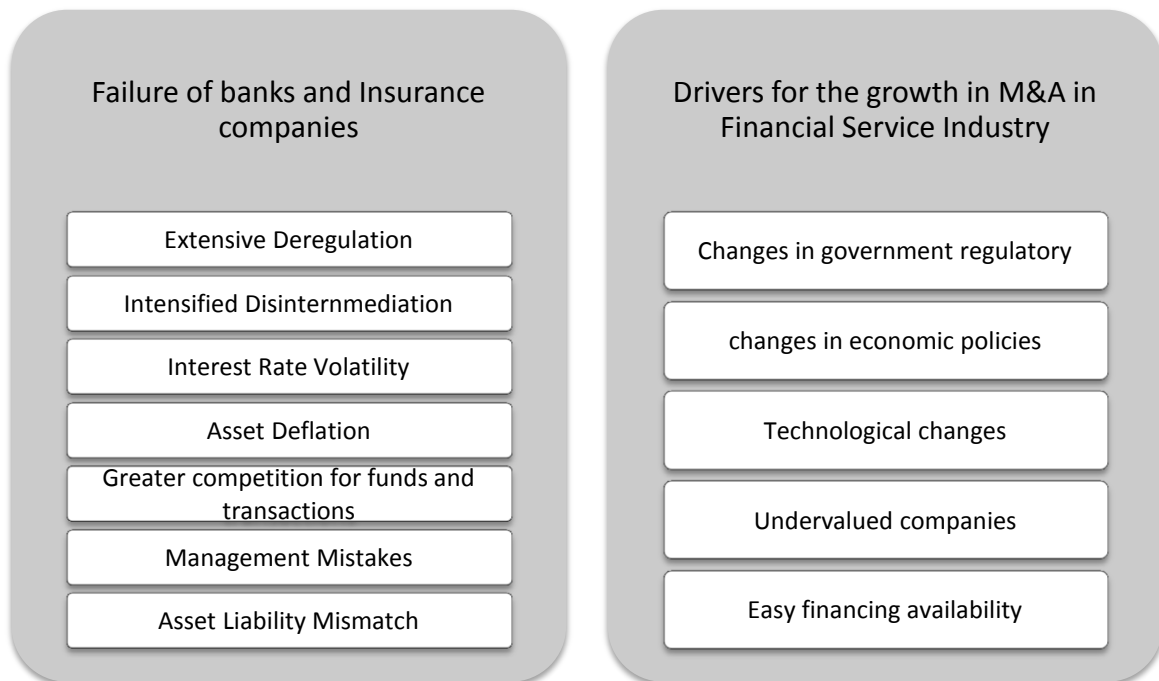
² Not available/Not applicable

Particulars	Benefits
Benefits to banks	• Cost effective use of premises • Greater customer lifecycle management • Increase percentage of non-interest fee income • Increased return on assets (ROA) • Profitability for banks with minimum capital investment
Benefits to insurance companies	• Better firm management • Better quality of manpower for investment research • Improved disclosure to the policyholder as well as the regulators • Increase in actuarial efficiency • Increase their geographical reach, products' range, scale economies and financial synergies • New technology from banks • Proper end-to-end service delivery process • Proper underwriting • Superior fund management
Benefits to customers	• Availability of wide range of financial products in one basket • Investment in products as per their preferences • Customers to stay connected with banks • Sophisticated product offerings
Source: Author's Compilations from various Literature	

d. Mergers and Acquisitions in Financial Service Industry

Banks and insurance companies come under the broader Financial Service Industry ³ and related issues are discussed in this section:

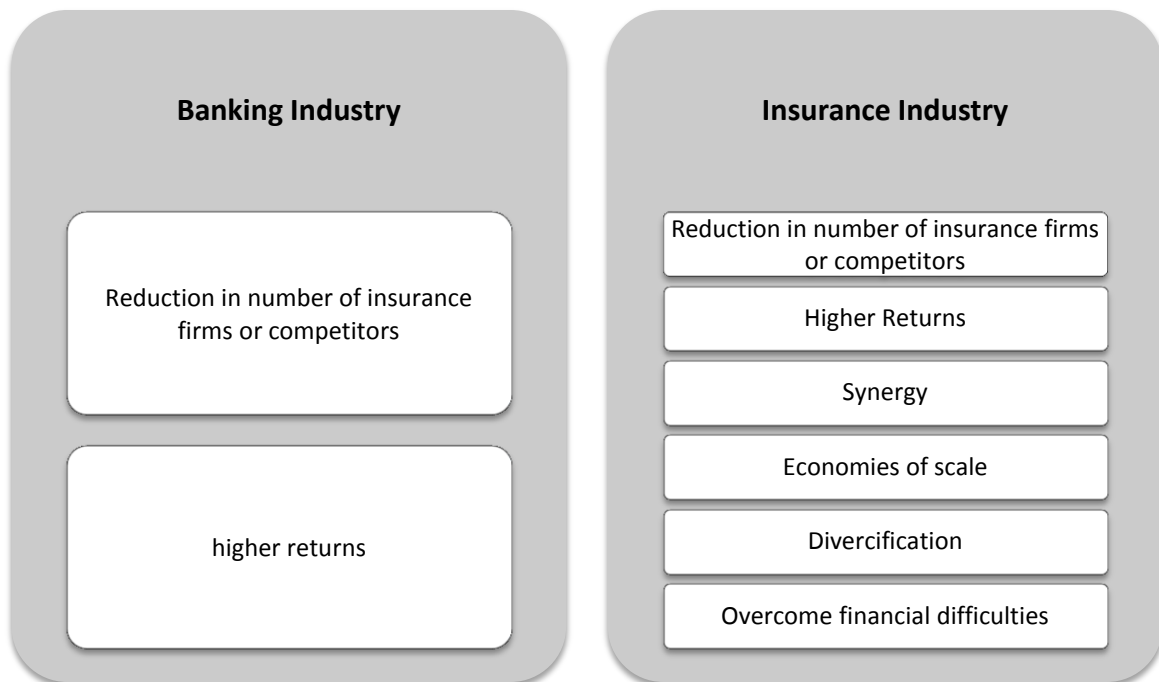
Figure I Factors lead to Growth of M&A in Financial Service Industry



Source: Author's Compilation from various Literatures

Figure II Reasons for M&As in the Banking and Insurance Industry

³ Financial services are the economic services provided by the finance industry, which encompasses a broad range of organizations that manage money, including credit unions, banks, credit card companies, insurance companies, accountancy companies, consumer finance companies, stock brokerages, investment funds, real estate funds and some government sponsored enterprises (Source: http://en.wikipedia.org/wiki/Financial_services).



Source: Meador, Madden, and Johnston (1986); Madura and Picou (1993); Marshall (1972)

From 1999-2000 till 2013-14, a number of acquisition of shares of banks in India is done by the insurance companies. Table III shows the Acquisition of Shares of Banks in India by various Insurance Companies:

Table III Acquisition of Shares of Banks in India by Insurance Companies

Target	Date	Acquirer	Cost of Deal (In Rs Crore)
Allahabad Bank	22-Feb-12	Life Insurance Corporation of India	459.4
Axis Bank Ltd.	21-Mar-14	Life Insurance Corporation of India	1,122.37
Axis Bank Ltd.	4-Mar-03	Life Insurance Corporation of India	78.66
Axis Bank Ltd.	1-Mar-02	LIC, GIC, New India Assurance Co & Others	45.2
Bank of Baroda	27-Feb-12	Life Insurance Corporation of India	1,644.68

Target	Date	Acquirer	Cost of Deal (In Rs Crore)
Bank of India	21-Feb-12	Life Insurance Corporation of India	1,037.45
Bank of Maharashtra	27-Feb-12	Life Insurance Corporation of India	135.09
Central Bank of India	12-Jun-14	Life Insurance Corporation of India	581.61
Central Bank of India	1-Mar-12	Life Insurance Corporation of India	269.3
City Union Bank Ltd.	8-Oct-07	Larsen & Turbo Ltd, Life Insurance Corporation of India & Others	125.44
Corporation Bank	7-Jun-01	Life Insurance Corporation of India	459.42
Dena Bank	7-Feb-12	Life Insurance Corporation of India	0
H D F C Bank Ltd.	3-Dec-99	Standard Life Assurance Co, UK	0
I D B I Bank Ltd.	2-Mar-12	Life Insurance Corporation of India	378.51
I N G Vysya Bank Ltd.	14-Aug-02	Alliance Capital, Birla Sun Life, Prudential ICICI, & Others	29.38
Indian Overseas Bank	12-Nov-13	Life Insurance Corporation of India	398.04
Oriental Bank of Commerce	2-Aug-01	Life Insurance Corporation of India	0
Punjab & Sind Bank	16-Feb-12	Life Insurance Corporation of India	95.3
Punjab National Bank	22-Feb-12	Life Insurance Corporation of India	1,589.90
Syndicate Bank	21-Feb-12	Life Insurance Corporation of India	327.2
UCO Bank	21-Feb-12	Life Insurance Corporation of India	258.81
United Bank of India	15-Feb-12	Life Insurance Corporation of India	650.3
United Bank of India	20-May-13	Life Insurance Corporation of India	300

Target	Date	Acquirer	Cost of Deal (In Rs Crore)
United Bank of India	24-Feb-12	Life Insurance Corporation of India	132.19
Vijaya Bank	23-Feb-12	Life Insurance Corporation of India	147
Yes Bank Ltd.	26-Apr-12	Bajaj Allianz Life Insurance Co. Ltd.	89.99
Source: Author's Compilation from CMIE Prowess Database			

Among them the largest insurance company, Life Insurance Corporation of India have made the highest number of acquisitions of bank shares as depicted in Figure III. Life Insurance Corporation has solely made around 21 deals out of 26 deals. The cost of all these 26 deals is 10,355 crores.

e. Background of Axis Bank

Axis Bank was promoted in December 1993 in the post liberalization and the privatization period in India. The Indian government allowed private companies to do banking business. The bank's stake are Administrator of the specified undertaking of the Unit Trust of India (Axis - I), Life Insurance Corporation of India (LIC) and General Insurance Corporation and other four PSU companies, i.e. National Insurance Company, The New India Assurance Company, The Oriental Insurance Corporation and United Insurance Company. Axis Bank made its first public issue in September 1998. On March 2005, Axis Bank was listed on the London Stock Exchange, raising US \$ 239.3 million through Global Depositary Receipts (GDRs). The bank's broad products and services include consumer banking, NRI business, retail loans, corporate banking, treasury, capital markets and financial advisory services. It divides its business into five segments viz. large corporates, SMEs, agri-business, channel financing and structured products. With a share capital of Rs.357.7 crore, the bank has a net worth of Rs.8,771 crore and a book value of Rs.244.6 per share⁴.

⁴ Details of the Axis bank background is collected from CMIE Prowess data base and Wikipedia

Table IV Details of income earned from the Bancassurance Business of Axis bank:

Sr. No.	Nature of Income*	For year Ending 31 March (Rs. in crores)				
		2014	2013	2012	2011	2010
1.	For selling life insurance policies	468.11	336.76	258.62	133.27	94.89
2.	For selling non-life insurance policies	18.16	19.41	31.33	23.04	30.2
3.	For selling mutual fund products	149.43	79.99	57.66	44.34	40.12
4.	Others **	26.27	74.45	24.67	28.72	19.48
5.	Total	661.97	510.61	372.28	229.37	184.69
*includes receipts on account of marketing activities undertaken on behalf of Bancassurance partners						
**selling of online trading accounts, gold coins, wealth advisory, RBI and other bonds						
Source: Annual Reports of Axis bank						

f. About the Deal

The details of the deal are given as below⁵:

- Acquirer Company: Axis Bank
- Target Company: Max India in its joint venture Max New York Life Insurance Company
- Percentage of Stake has acquired: 4% stake
- Deal Value: Rs 72 crore
- Joint Venture Duration: 10-year strategic bancassurance deal with an option to review equity after three years (As per Dilution Agreement).
- Partnership Axis Bank has picked up the stake at par value.
- Regulatory approval for the investment:

⁵ Max New York Life gets regulatory approval to dilute 4% stake retrieved on 19th February 2015 from <http://www.livemint.com/Companies/IXDe2rURQE3E7vFR6NYKHL/Max-New-York-Life-gets-regulatory-approval-to-dilute-4-stak.html>

- Max New York Life Insurance Company Insurance from Regulatory and Development Authority
- Axis Bank from Reserve bank of India
- The motive for deal for Max India: To strengthen the private insurer's strategy of multi-channel distribution and presence across the nation.
- Motive for deal for Axis Bank: It does not have an insurance subsidiary. It wants to expand its business like its competitors ICICI Bank and HDFC bank. This will help Axis bank to get a major part of its fee income (around 80%) by selling third party insurance products.
- Motives for both: Axis Bank and Max New York Life Insurance expect to collect an additional customer reference of 20 lakh customers in the post five years after the deal.
- Funding: Max India did not organize the initial public offering to bring capital as it has enough capital to run its business, i.e. 322% capital against the mandatory requirement of 150%. Max New York Life has a share base of 180 crore with a paid-up capital worth Rs. 1,976 crore as on end-March, 2011.
- Key observations from Analysts⁶:
 - Axis Bank contributed 20-25% of the company's business since June 2010 that is nearly 400 crore. The decision to sell stake is to compensate Axis Bank for the business it has been generating for the insurer. Since the Bancassurance partnership is not on a large scale, the deal is to compensate them by selling them a part of their stake.
 - Axis Bank's fee based income increased by 30% to Rs 3,790 crore in 2010-11
 - Max New York Life's new business income from Bancassurance increased to 25% in 2010-11 from less than 5% in 2009-10. It reported 11% growth in new business income and 25% rise in renewal income in 2010-11.

⁶Sinha, S (2011). Axis Bank buys 4% stake in Max New York Life for 72 cr
 Retrieved on 19th February 2015 from http://articles.economictimes.indiatimes.com/2011-05-12/news/29536121_1_max-new-york-life-axis-bank-analjit-singh-s-max-india

- Max New York Life cut its employee strength to 7,000 in 2010-11 from 10,000 in 2009-10 and shut down 140 offices.
- Max New York Life have consolidated 60 branches and closed down 140 to increase efficiency and bring down costs.

g. Empirical Literature

Mergers and Acquisitions in the financial service industry are more active around the world. Financial service industries have adopted the M&A strategy to cope with regulatory changes, competition in the market, and to achieve specific management objectives such as achieving operational efficiency through economies of scale and scope and greater market share. This has led to the creation of shareholder value and improved performance (Smith and Walter, 1996). Among the financial industry, banking and insurance industry are significant part in financial service industry. When looked at some statistical facts, Insurance sector is growing at a speed of 15%-20%. Together with the banking services, insurance add about 7% to India's GDP. Hence, it aroused interest to probe into the literature to observe the performance of banks using insurance in their business model, specifically through Bancassurance. Thus, review of some relevant literature on M&A, banks, insurance industry and Bancassurance is done to see how they have managed their business and grown. Study of both Indian and international papers are done to critically analyze the pre and post M&A performance of banks doing deals with insurance companies. Table V, VI, VII reflects the summary of the literature review done. The literature review is done in three phases (a) M&A in Insurance Industry (b) M&A in the banking industry (c) Performance of firms due to Bancassurance.

From the literature discussed below, it is observed that most of the empirical research works relevant to the topic are made in the USA, the UK apart from Kenya, Nigeria, Malaysia, Australia, China, Italy and India. Though many studies have been done in M&A in banking sector in India, but limited studies are conducted in M&A in the insurance industry. Probably, in the past few years M&A in insurance has not grown due to regulatory approvals. Similarly, limited number of studies have been conducted in Bancassurance, specifically in India. In the recent years the M&A in banking and insurance

industry have grown. Bancassurance is also visible in Indian market. Hence, to bridge the above research gaps, it is therefore needed to examine the impact of Bancassurance through a deal in India.

Table V Empirical Literature on M&A in Insurance Industry

Evidence	Country	Period	Research Focus	Research Findings
Mitema (2014)	Kenya	2000 – 2014	To evaluate whether mergers and acquisitions in the insurance industry have created or destroyed value	There is value creation due to M&As in Insurance sector because through M&A there is an inflow of capital which results in increased stability in their financial resources that help them to take new investment projects under calculated risk, thus finally gaining more profits.
Cummins, Klumpes and Weiss (2014)	U.S., Europe	1990-2006	To examine whether global insurance mergers and acquisitions have created value for shareholders or not.	Insurance acquirers realized small positive cumulative average abnormal returns, whereas targets realized substantial positive cumulative average abnormal returns. Both domestic as well as cross-border M&A deals led to a considerable amount of value-creation.
Davutyan and Klumpes, (2008)	Europe	1999 - 2000	To examine the relationship between mergers and acquisitions, efficiency and economies of scale in the insurance market.	In the post consolidation period, the technical efficiency of insurance firms improves but scale efficiency worsens. The non-life sector performs better the life sector. Mergers do not significantly impact acquirer behavior. The impact of consolidation in European insurance industry markets is different based on whether it is life insurance sector or non –

Evidence	Country	Period	Research Focus	Research Findings
				life insurance sector.
Shim (2007)	USA	1990-2003	To observe the relationship between the M&As activity and its effect on the prices of insurance in property liability insurance industry company.	Insurance industry engaged in M&A industry benefit from M&A because it lowers the price of insurance specifically of new insurers benefiting the consumers. M&A helps the acquiring insurance companies to lessen the underwriting risks. It also helps in handling the frictional cost of capital through diversification. It results in ensuring a competitive advantage over prices.
Akhigbe and Madura (2001)	USA	1985-1995	To determine how the market impacts the value of the acquirer, target, and rival insurance companies during merger announcements	The acquirer and target insurance companies experience positive and significant wealth gain during merger announcements compared to the merger between manufacturing companies. It is also found that there is a positive and significant effect within the industry due to merger announcements of insurance companies. It is observed that, this intra-industry effects is possibly due to the influence of several factors such as type, size, and location of the insurance companies.

Evidence	Country	Period	Research Focus	Research Findings
Floreani and Rigamonti (2001)	USA UK	1996-2000	To examine the stock market valuation of mergers in the insurance industry	The insurance companies involved in merger increases value for bidder shareholders. The greater the relative size of deal value, the larger is the abnormal returns for bidder firm. There is a positive abnormal return for the combined insurance companies. The shareholders of the target company substantially increase their wealth. There is no positive return for domestic mergers whereas there is an increase in the shareholder value of cross border merger deals.
Cummins, Tennyson and Weiss (1999)	USA	1988-1995	To examine the relationship between mergers and acquisitions, efficiency, and economies of scale in the life insurance industry.	Firms in the insurance industry that have gone for M&A deals realize more gains due to economies of scale compared to firms that have not made any M&A deals. Firms that often become acquisition targets are those firms (a) that operate with non-decreasing returns to scale and (b) are financially weak. As a whole, M&A in the life insurance industry have positive effects on efficiency.
Chamberlain and Tennyson (1998)	USA	1980-1990	To investigate if the primary motive of companies going for	It is found that financial synergy is not always the motive for M&A deal and it differs based on industry situation. However,

Evidence	Country	Period	Research Focus	Research Findings
			merger deals in property liability insurance industry is to achieve financial synergy or not	financial synergies are a motive for mergers whenever there is inadequate capital liquidity within the industry.
BarNiv and Hathom (1997)	USA	1984-1992	To examine whether mergers are done to save the financially distressed insurers or not based on the use of accounting and financial information.	Acquiring firms that acquire a distressed target insurance firm get significant negative returns from the merger. They earn significantly lower returns compared to firms that sell such distressed insurance companies.
<i>Source: Author's Compilations from Various Literature</i>				

Table VI Empirical Literature on M&A in Banking Industry

Evidence	Country	Period	Research focus	Research findings
Dilshad (2013)	Europe	2001-2010	To investigate the effect of M&A on the shareholders of the acquiring and the target firm after the announcement of M&A in the banking industry.	It was found that, the cumulative abnormal return for the acquiring firm after the M&A announcement remains for a shorter duration and then it becomes zero. However, the cumulative abnormal return of the target company is positive on the date of the merger announcement.

Evidence	Country	Period	Research focus	Research findings
Oghojafor and Adebisi (2012)	Nigeria	NA	To evaluate merger and acquisition as an intervention strategy	There is a significant difference between pre and post M&A performance.
Intrigano and Rossi (2012)	Italy	1994-2005	To validate if the M&As in the banking industry have created value for shareholders or not.	M&A created value for the target companies while destroying value for the bidder companies. There is destruction of value in the case of the combined firms also in both mergers and in M&As.
Shobhana and Deepa (2012)	India	1991-2005	To study the impact of M&A on the shareholder wealth of the acquiring banks.	There is a deterioration in the shareholder wealth when the shares of the sample banks are more likely to be influenced by market risk. There is an increase in the shareholder wealth when the market risks influencing the sample banks are the same as that of the benchmark portfolio.
Jalandhar, Anchula and Achari, (2011)	India	1996-2003	To evaluate performance of commercial banks in their post-merger period.	The performance of banks improves in the post-merger period, compared to the pre-merger period.
Kaur and Kaur (2010)	India	1990-2008	To examine the impact of mergers on the cost efficiency of Indian	When there is a merger deal between a strong and distressed bank, it leads to adverse impact upon the asset quality of the

Evidence	Country	Period	Research focus	Research findings
			commercial banks	stronger banks.
Uhde and Heimeshoff (2009)	Europe	1997-2005	To study the impact of consolidation in the banking and financial stability	Consolidation occurred because of lower levels of competitive pressure, fewer diversification opportunities and a higher section of government-owned banks are susceptible to financial instability.
Hankir, Rauch, and Umber (2008)	North America and Europe	1995-2008	To analyze the capital market perception of deal drivers of bank M&As	Economies of scale reduce the number of market participants.
Kithinji and Waweru (2007)	Kenya	1993 - 2000.	To investigate the effects of merger in the financial performance of commercial banks	The financial performance improves after merger in terms of capital adequacy and solvency position. There is a decline in the profitability position of the merged banks after merger.
Kakani and Mehta (2006)	India	2000-2004	To understand the motives for M&A in the Indian Banking Industry	The Indian banks go for M&A deals to increase revenue and improve spread by getting stable earnings, earning better returns compared to risks to Shareholders, lowering in the intermediation costs, enhancing the capabilities increase the collections, providing services, using the processes, distribution, infrastructure and IT of the target bank and through cross

Evidence	Country	Period	Research focus	Research findings
				selling.
Chong, Liu and Tan (2006)	Malaysia	1999	To examine the impact of forced bank mergers on the shareholders' wealth of banks.	Forced bank merger destroys economic value of the combined firms. The acquiring banks gains but at the cost of the target banks.
Mainthia (2005)	USA	1998-	To test whether a large regional bank merger has anti-competitive effects	There are no significant abnormal returns in bank mergers. It shows that there is it does not affect competition among the regional banks.
DeLong(2001)	USA	1988-1995	To explore if bank mergers lead to create value creation or not and examine the wealth effect of bank mergers by distinguishing between types of mergers.	The mergers that focus both geography and activity are value-enhancing in nature but mergers focusing on diversification are not value enhancing in nature.
Rhoades (1998)	USA	1990	To investigate the efficiency effects of bank mergers	There is a reduction in cost in the post - merger period, compared to the pre-merger period.
Source: Author's Compilations from Various Literature				

Table VII Empirical Literature on Bancassurance

Evidence	Country	Period	Research Focus	Research Findings
Schneider (2014)	Italy	1998 – 2012	To investigate the economies of scale of life insurers between those who adopt and do not adopt the Bancassurance	Life insurers who adopt Bancassurance achieve better economies of scale than those who do not adopt the Bancassurance model. There is relatively prudent level of exposure for life insurance companies that is negatively correlated with firm factors influencing the overall risk profile. Finally, asset risk exposure did not decrease significantly due to the financial crisis, pointing at the effectiveness of regulatory restrictions on investments or a contingent search for yields.
Arora and Jain (2013)	India	2004-2012	To compare the fee Based income of banks before and after the adoption of Bancassurance	There is a favorable impact of Bancassurance on the financial performance of bank of India and the bank has also contributed to the overall performance of insurance companies.
Dontis-Charitos,	Canada	1990-	To observe if there is any	There are positive returns around the announcement time. The

Evidence	Country	Period	Research Focus	Research Findings
Molyneux and Staikouras (2011)	USA UK Australia	2006	excess returns on and around the deals' announcement date for firms going for M&A deals between bank and insurance companies.	factors such as bank driven mergers, deal's size and regional categorization are a vital catalyst for market reactions while geographic focus and language are not noteworthy factors. There is no impact on the market when a bank withdraws itself from from the bank-insurance operations. Bank-insurance deals shows positive results in Canada, U.S.A and Europe. There is statistically insignificant equity return for bidders in Australia.
Pinter (2011)	Europe	2000-2010	To analyze the driving forces behind the combinations between banking and insurance companies in terms of strategic cross-sector and cross-border M&A.	Banks enters into the insurance services industry due to the influence of globalization, integration, dis-intermediation and deregulation and prudential re-regulation and competition.
Fiordelisi and Ricci (2011)	Italy	2005-2006	To assess Bancassurance performance gains to both the bank and the insurance	There is not much benefit to the banking industry due to Bancassurance while the insurance industry benefits because Bancassurance serves as a distribution channel, and enhances

Evidence	Country	Period	Research Focus	Research Findings
			company by estimating the efficiency in terms of cost and profit using stochastic frontier analysis.	their cost efficiency. In order to increase profitability, the product mix should be continually reviewed according to the customer requirements and changes in the financial markets. The parties involved in Bancassurance strategy should involve in cross-selling contracts and non-equity strategic alliances.
Chen and Tan (2011)	USA	1998	To analyze whether deregulation has helped to contribute positive wealth effects or not for banking and insurance industry, specifically after the merger of Citicorp and Travelers Group, a first US merger between banks and insurance.	The abnormal return surrounding the merger is significant and positive leading to increase in share prices for life insurance companies and large banks (excluding Citicorp and Travelers Group). It is also observed that the returns to small banks, health insurers, and property/casualty insurers are insignificantly different from 0 during merger announcement. It indicates that investors anticipate that the large banks and insurance companies will receive significant benefits because of the regulation that removes the barriers to Bancassurance.
Xia (2010)	China	1999-2006	To examine the effects of Bancassurance on banks and	Insurance companies, especially non-life insurance companies gain from Bancassurance through capital convergence. There

Evidence	Country	Period	Research Focus	Research Findings
			insurance companies created by simulated merger on their profitability and risk.	is no improvement in risk and profitability for banks due to Bancassurance.
Staikouras (2009)	USA Europe Global	1990-2006	To examine the effects on shareholder wealth as a result of the bank–insurance interface	There is a significant abnormal return surrounding the announcement of bank–insurance deals. Firms that are not involved in bank–insurance deals shows negative abnormal returns. Bank-bidders earn significant positive returns, while the insurance-bidders earn losses. The factors that affect the abnormal returns are profitability, size and functional diversification.
Artikis, Mutenga and Staikouras (2008)	USA Europe	N.A.	To observe the bank-insurance trend and provides an insight into the underlying dynamics and corporate structures of financial conglomerates.	The success of the Bancassurance model is diverse across the world. It is not clear whether re-regulation or response to globalization is the driver of growth in Bancassurance.
Paige Fields, Fraser and Kolari	USA	1997 - 2002	To observe the viability of Bancassurance combinations	Acquiring firm shareholders gain a positive return, but no significant reduction in risk. If the CEO stock ownership is

Evidence	Country	Period	Research Focus	Research Findings
(2007)			for U.S. and non-U.S. mergers	higher, then there is less positive gains for shareholders. Bancassurance firms play an important role in the financial system.
Fields, Fraser and Kolari (2005)	USA	1997 - 2002	To examine bidder wealth gains in Bancassurance mergers and see if there are synergies between these two types of financial firms	Bidder firms earn a positive return and enhance wealth by achieving economies of scale and scope, and based on the locations of the bidders and targets. Bancassurance model benefits to financial firms and thus may play vital role in the future.
Carow (2001)	USA	1998	To find out if the intuitions have positive wealth effects from deregulation or not after the announcement of deal between Citicorp and Travelers group Merger	The stock price of the insurance companies and banks increases significant surrounding the merger announcement date. This is because the investors predict that the insurance companies and banks are going to benefit from the new legislation as it removes the barriers to Bancassurance.
Source: Author's Compilations from Various Literature				

3. RESEARCH METHODOLOGY

a. Objective of Study

The main aim of the study is to find out the contribution of Bancassurance on the financial performance of Axis bank after it acquires shares in the Max New York Life Insurance Company. The objective of the study is to analyze the pre and post deal performance of Axis bank and examine the factors that lead to changes in the performance.

b. Research Hypotheses

H_0^1 : There is no significant impact of the acquisition of shares in Max Life Insurance Company by Axis Bank on the share prices of Axis Bank.

H_0^2 : There is no significant impact of movement in banking stocks represented by BANKEX on the share prices of Axis Bank during one month prior and one month after the acquisition of shares in Max New York Life Insurance Company.

H_0^3 : There is no significant difference in the long term operating performance of Axis bank due to acquisition of shares in Max New York Life Insurance Company.

H_0^4 : There is no significant difference in the long term financial performance of Axis bank due to acquisition of shares in Max New York Life Insurance Company.

c. Period of Study

The present study will be carried out to examine the financial performance of bank three years before opting for Bancassurance and three years after opting for Bancassurance though the deal with Max New York Life Insurance Company in the year 2011-12. i.e. pre- deal period 2008-09 to 2010-11 and post deal period of 2012-13 to 2014-15. To understand the short term impact of acquisition of stock in Max New York life Insurance by Axis Bank, the data is taken for one month before the acquisition of shares and one month after the acquisition of shares by Axis bank in Mas New York Life Insurance, i.e., from 12th April, 2012 to 12th June 2012 as the deal date is 11th May, 2012

d. Data Collection and Sample & Characteristics Selection for Analysis

The entire banking industry is not selected for the current study because most of the banks have not gone for such deals with insurance and few of them have taken such strategy. Again availability of data for all banks is beyond resource and time constraint. Hence, the present study is an attempt to observe the Bancassurance scenario on the micro rather than macro-level. Data regarding the share prices of Axis bank has been collected from the official website of Bombay Stock Exchange. Data is collected from secondary sources taken from the annual reports of Axis bank and Max New York Life Insurance Company relating to its background, history, financial parameters. Various published paper, report, and

article and from the various newspapers, bulletins and other various research reports published by bank and various websites. CMIE prowess has been used to collect the information relating to the deal details and also company financial and non-financial details. The details of acquirer and target companies are shown in Table VIII as below:

Table VIII Sample Companies Background

Company Background	Axis Bank Ltd. (Acquirer)	Max New York Life Insurance (Target)
Industry group	Banking services (Financial Service Industry)	Insurance Services (Financial Service Industry)
Main product / service	Banking services : Credit cards, consumer banking, corporate banking, finance and insurance, investment banking, mortgage loans, private banking, private equity, wealth management	Insurance Services: Individual Insurance (23 products and 9 riders/options) and Group Insurance (4 products and 7 riders/options)
Entity type	Private Category : New Private Sector Banks ⁷	Private
Incorporation year	1993	2000
Headquarters	Mumbai, Maharashtra, India	New Delhi, India
First trading date on NSE	12/3/1998	N/A
First trading date on BSE	11/27/1998	N/A

⁷The banks, which came in operation after 1991, with the introduction of economic reforms and financial sector reforms are called "new private-sector banks". Banking regulation act was then amended in 1993, which permitted the entry of new private-sector banks in the Indian banking s sector. However, there were certain criteria set for the establishment of the new private-sector banks, some of those criteria being:#The bank should have a minimum net worth of Rs. 200 crores. (1) The promoters holding should be a minimum of 25% of the paid-up capital. Within 3 years of the starting of the operations, the bank should offer shares to public and their net worth must increase to 300 crores. Source: http://en.wikipedia.org/wiki/Private-sector_banks_in_India#New_private-sector_banks

Company Background	Axis Bank Ltd. (Acquirer)	Max New York Life Insurance (Target)
NIC code	64191	N/A
About the firm	Formerly known as UTI Bank	Max New York Life Insurance is a joint venture in the ratio of 74: 26 between Analjit Singh's Max India and US-based New York Life International
http://en.wikipedia.org/wiki/Max_Life_Insurance http://en.wikipedia.org/wiki/Axis_Bank		

e. Parameters /Variables for Analysis

The parameters and variables used in the study are shown in the Table IX with their interpretation as below:

Table IX Variables used in the Study

Camel Model Parameters	Interpretation	Variables
Capital Adequacy	It indicates the financial soundness of the bank that guides relating to the stability and efficiency of the financial system.	• Capital Adequacy Ratio (CAR) • Gearing Ratio (GR)
Asset Quality	It shows the overall financial health.	• Return on Assets (ROA) • Non-Performing Assets as % to Net Advances

Camel Model Parameters	Interpretation	Variables
		(NPANA)
Management Performance	It reflects the efficiency in operations due to efficient and sound management.	• Business Per Employee (BPE) • Profit Per Employee (PPE) • Non Fund Income as a % to Total Income (NFITI)
Earnings	It indicates about the both operating and non-operating profits of banks	• Earnings Per Share (EPS) • Net profit as % to Total Income (NPTI) • Interest Spread as % to Total Income (STI)
Liquidity	It indicates how much current assets, bank has to meet the short term obligations or current liabilities.	• Credit Deposit Ratio (CDR) • Time Deposit as % to Total Deposit (TDTD) • Liquid Asset as % to Short Term Liabilities (LASTL)
<i>Source: Kumari and Dorthy (2014); Arora and Jain (2013)</i>		

f. Statistical Tools for Analysis

Vanitha & Selvam (2007); Mantravadi & Reddy (2008); Kumar (2009); Saboo & Gopi (2009) and Usman, et al. (2012) have used average three years to judge the performance of companies due to M&A. Following them, In the light of the objective of the study to find out if there is any difference between the pre and post M&A financial performance of Axis Bank after going for deal with Max Life Insurance Company, three year average pre and post M&A financial ratios are compared. To know the immediate short term impact, one year pre and one year post M&A are also compared. The difference in financial performance in terms of traditional ratios is as per the CAMEL Model.

To understand the short term impact of acquisition of stock in Max New York life Insurance by Axis Bank, regression is used. The fluctuations in the share price data may be due to merger or it may be due to general trends in the banking industry. Therefore, BSE banking index BANKEX is taken as independent variable and Axis bank share prices are taken as the dependent variable. The share prices before and after the merger is also considered as one of the factors and taken as independent variable.

4. ESTIMATION RESULTS

a. Long Term Impact of Acquisition of Shares in Max New York Life Insurance

Company by Axis Bank

The performance of Axis bank in terms of Capital Adequacy Parameters is shown in the Table X as below:

Table X Results on Capital Adequacy of Axis Bank

Parameters	Capital Adequacy Ratio (%)	Debt To Equity Ratio (times)
Three Year Average Before Deal	14.49	1.21
Three Year Average after Deal	15.55	1.38
Difference	1.06	0.17
Two Year Average Before Deal	14.75	1.30
Two Year Average after Deal	15.33	1.41
Difference	0.58	0.12
One year Before deal	15.80	1.07
One year after deal	13.66	1.49
Difference	-2.14	0.42
Source: Author's Calculation		

The negative CAR in the first year after deal indicates that the bank was not able to maintain capital in relation to its risk adjusted assets. Axis bank has been able to keep minimum CAR of 9% over

the sample period. Taking the two year and three year average of pre and post M&A period, it shows that the bank has ability to expand its business with sufficient capital.

The Debt to Equity Ratio indicates the degree of leverage of a bank to know the proportion of the bank business is funded through debt and equity. It is the ratio between the total borrowings of a bank with shareholders' net worth. The bank would prefer to keep a lower ratio, which will have image that the depositors and creditors are protected. The D/E ratio of Axis bank has been increased. It shows that the bank has some debt burden.

Table XI Results on Asset Quality of Axis Bank

Parameters	Return on Assets	Net Non-Performing Assets (NNPA) To Net Advances (In Per Cent)
Three Year Average Before Deal	1.45	0.41
Three Year Average after Deal	1.72	0.36
Difference	0.27	-0.05
Two Year Average Before Deal	1.56	0.40
Two Year Average after Deal	1.69	0.32
Difference	0.14	-0.09
One year Before deal	1.67	0.40
One year after deal	1.68	0.27
Difference	0.01	-0.13
Source: Author's Calculation		

The performance of Axis bank in terms of Asset Quality is shown in the Table XI. The ROA have increased in the sample period. It indicates that the bank has generated sufficient earnings in comparison to its fixed assets. This has happened may be because of increase in fee based income that might have covered their operating expenses. Axis bank may have able to effectively cross-sell insurance products

through its distribution and processing capabilities for better returns. The financial strength of Axis bank has improved.

The Net Non-Performing Assets (NNPA) To Net Advances (In Per Cent) is an indicator that judges the quality of the bank's loan or the quality of assets that a bank holds. Non-Performing Assets are those assets for which interest is unpaid for more than 90 days (or 3 months). The higher the ratio, the poor is the quality of bank loans. Axis bank has performed better in reducing the amount of Non-Performing Assets as indicated from the NNPA ratio. Even if it is a private bank with high rate of interest charged to customers, the customers have not defaulted in paying back to bank the amount of money it has lent. This can also be attributed to the deal done with max life that has helped to manage the interest rates.

Table XII Results on Management Performance of Axis Bank

Parameters	Profit/Loss Per Employee	Business (Deposits Plus Advances) Per Employee	Fee Based Income As A % To Total Income
Three Year Average Before Deal	0.10	10.96	15.73
Three Year Average after Deal	0.15	12.40	14.92
Difference	0.05	1.44	-0.81
Two Year Average Before Deal	0.11	10.86	16.08
Two Year Average after Deal	0.15	12.46	15.33
Difference	0.04	1.60	-0.75
One year Before deal	0.12	11.11	16.43
One year after deal	0.14	12.76	15.82
Difference	0.02	1.65	-0.61
Source: Author's Calculation			

The performance of Axis bank in terms of Management Performance is shown in the Table XII. The profit per employee increased in the first year, second year and third year after the deal by axis bank. It indicates that it has been able get its earnings by managing people also in the environment of different work culture of bank and insurance company. The business per employee have also enhanced over an average period of three and two years after the deal indicating that the partners are working with common business vision and moving towards growing the business through achieving future objectives. The fee based income as the percentage of total income reduced. The efficiency of management of banks has improved as indicated from the profit per employee and business per employee. It means the employees of Axis bank have worked efficiently and productively over these years.

Table XIII Results on Earnings of Axis Bank

Parameters	EPS	Net Profit As % To Total Income (NPTI)	Interest Spread As % To Total Income (STI)
Three Year Average Before Deal	47.52	13.80	29.36
Three Year Average after Deal	115.23	15.67	29.66
Difference	67.70	1.87	0.30
Two Year Average Before Deal	56.32	14.62	29.37
Two Year Average after Deal	106.68	15.38	28.89
Difference	50.36	0.76	-0.48
One year Before deal	62.06	16.11	32.05
One year after deal	102.67	15.46	29.22
Difference	40.61	-0.64	-2.83
Source: Author's Calculation			

The performance of Axis bank in terms of Earnings is shown in the Table XIII. The higher EPS shows that Axis bank is able to earn profits consistently over the period of time. It is also capable to earn

even when dealing with a new environment of the insurance industry. It gives a positive indication that the risky environment also where the bank is new to a field, it is capable to maintain quality which can lead to sustainable growth of its future earnings.

Net profit as a % to Total Income has declined in the initial year, indicating that the earning is affected. This could negatively influence Axis bank's ability in paying dividends, maintaining an adequate amount of capital, expanding in new business activities and retaining its competitive position. Interest spread is the difference between interests on loan what it receives and interest on deposits what it gets. The greater the amount of spread the better it is as it means more profits the bank is able to earn. The Interest Spread as % to Total Income (STI) has decreased in the initial two years, but later it has able to increase its interest spread.

Table XIV Results on Liquidity of Axis Bank

Parameters	Current Asset as % to Current Liabilities	Liquid Assets To Current Liabilities	Time Deposit as % to Total Deposit (TDTD)
Three Year Average Before Deal	2.99	0.87	46.97
Three Year Average after Deal	7.78	1.05	52.84
Difference	4.79	0.18	5.87
Two Year Average Before Deal	3.50	0.91	49.75
Two Year Average after Deal	6.97	1.00	53.25
Difference	3.48	0.10	3.50
One year Before deal	3.78	0.98	50.25
One year after deal	6.49	0.98	51.63
Difference	2.71	0.00	1.38
Source: Author's Calculation			

The performance of Axis bank in terms of Liquidity is shown in the Table XIV. Liquidity in banks is vital to cope with competition. The Axis bank has been able to maintain liquidity over the sample period which is reflected from the Current Asset as % to Current Liabilities, Liquid Assets to Current Liabilities and Time Deposit as % to Total Deposit. It indicates that the proportion of outstanding loans to total assets is manageable and there is no liquidity crisis during the period ensuring that financial performance is not affected. Since axis bank have properly managed its liquidity position so it has not affected its cost of funds and these are not under unrated category.

b. Short Term Impact of Acquisition of Shares in Max New York Life Insurance Company by Axis Bank

To understand the impact of acquisition of stake in Max New York Life Insurance Company by Axis bank, multiple regression is used. The stock market before and after the acquisition is taken as independent variable. The fluctuations in a particular bank's share price may be due to acquisition or it may be due to the general trend in the banking industry. To know if the general banking trend has influenced the share prices or the fluctuations are due to the acquisition, BANKEX has been taken as independent variable. The Share price of Axis bank is taken as the dependent variable. It is found that the value of R-square is 0.91 an adjusted R-square is 0.90. The regression is significant at the 5 % level of significance.

Table XV: Regression Coefficient

Parameters	Coefficients	Standard Error	P-value
Intercept	-637.43	124.86	0.00
BANKEX	0.15	0.01	0.00
Prices before and after acquisition	1.77	10.92	0.87
Source: Authors' Calculation from data derived from www.bseindia.com			

It is seen in the Table XV that the relationship between the share prices of Axis bank and BANKEX is significant. It means that there is impact of BANKEX on the share prices of Axis bank.

However, there is no impact of market scenario, before the acquisition of shares in Max New York Life Insurance and after the acquisition of shares in Max New York Life Insurance on the share prices of Axis bank as reflected from the P-value which is less than 0.05 in case of BANKEX but more than 0.05 in case of share prices of axis bank before and after the acquisition of shares. Thus, it is inferred that there is no impact of the acquisition of shares by Axis Bank in Max New York Life Insurance on its stock performance. The volatility in the share prices is due to the general trend in the banking industry, which is reflected in the BANKEX.

5. CONCLUSION

This paper investigates the Long Run and Short Run Impact of Acquisition of Shares in Max New York Life Insurance by Axis Bank specifically to know the contribution of Bancassurance towards the performance of the bank. From the statistical results using various financial ratios based on the different parameters of CAMEL Model, it is found that there is disparity in the long term impact of Bancassurance. However, in terms of short term impact, it is found that there is no impact of the acquisition of shares by Axis Bank in Max New York Life Insurance on its stock performance.

6. POLICY IMPLICATIONS

It is seen that after the acquisition of shares in the Max New York Life Insurance Company by Axis bank there is improvement in the financial performance of the bank. However, the short term fluctuations in the share market are not attributed to this acquisition rather it was due to the general trend in the banking industry. It means that the market is not considering this deal as significant. It may be due to the reason that only 4% stake is acquired by the bank in the insurance company which may not be considered significant by the market. But the analysis of the financial data for long period shows that bank's performance has improved in terms of various financial parameters. It shows the inefficiency of the stock market to discount important information on acquisition of shares by the bank in the insurance company. The improvement in the financial performance in the long run is a positive sign for the acquisition. This shows the presence of synergy in the deal. However, in the short run, the indifferent

behavior shown by the stock market is the cause of concern for the bank. The bank should take appropriate measure to disseminate the information with respect to the acquisition to its investors.

7. SCOPE OF FUTURE RESERCH

The limitation of the study is that it has not used the any control firms to show the impact of joint venture in relation to the industry performance. Future research can be focused on examining the relationship of merger and acquisition of banking and insurance at macro level, taking a number of samples of M&A deals that would provide additional insights into the performance of acquirer and target.

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Appendix

Table XVI Financial Data based on CAMEL Model

Year→	For year Ending 31 st March						
Axis Bank Ltd. Rs. Crore/	2008	2009	2010	2011	2012	2013	2014

Year→	For year Ending 31st March						
Axis Bank Ltd. Rs. Crore/	2008	2009	2010	2011	2012	2013	2014
Total Capital Adequacy Ratio of The Bank (%)	13.99	13.69	15.8	12.65	13.66	17	16
Debt To Equity Ratio (times)	1.03	1.52	1.07	1.38	1.49	1.33	1.32
Return on Assets	1.24	1.44	1.67	1.68	1.68	1.7	1.78
Net Non-Performing Assets (NNPA) To Net Advances (in per cent)	0.42	0.4	0.4	0.29	0.27	0.36	0.44
Profit/Loss Per Employee	0.08	0.1	0.12	0.14	0.14	0.15	0.15
Business(Deposits Plus Advances) Per Employee	11.17	10.6	11.11	13.66	12.76	12.15	12.3
Fee Based Income As a % To Total Income	15.03	15.73	16.43	16.96	15.82	14.84	14.08
EPS	29.94	50.57	62.06	82.54	102.67	110.68	132.33
Net Profit As % To Total Income (NPTI)	12.15	13.14	16.11	17.12	15.46	15.30	16.24
Interest Spread As % To Total Income (STI)	29.33	26.69	32.05	33.16	29.22	28.55	31.21
Current Asset As % To Current Liabilities	1.99	3.21	3.78	4.87	6.49	7.46	9.40
Liquid Assets To Current Liabilities	0.81	0.84	0.98	1.01	0.98	1.03	1.15
Source: Author's Calculation							

Figure IV Total Capital Adequacy Ratio of the Bank (%)

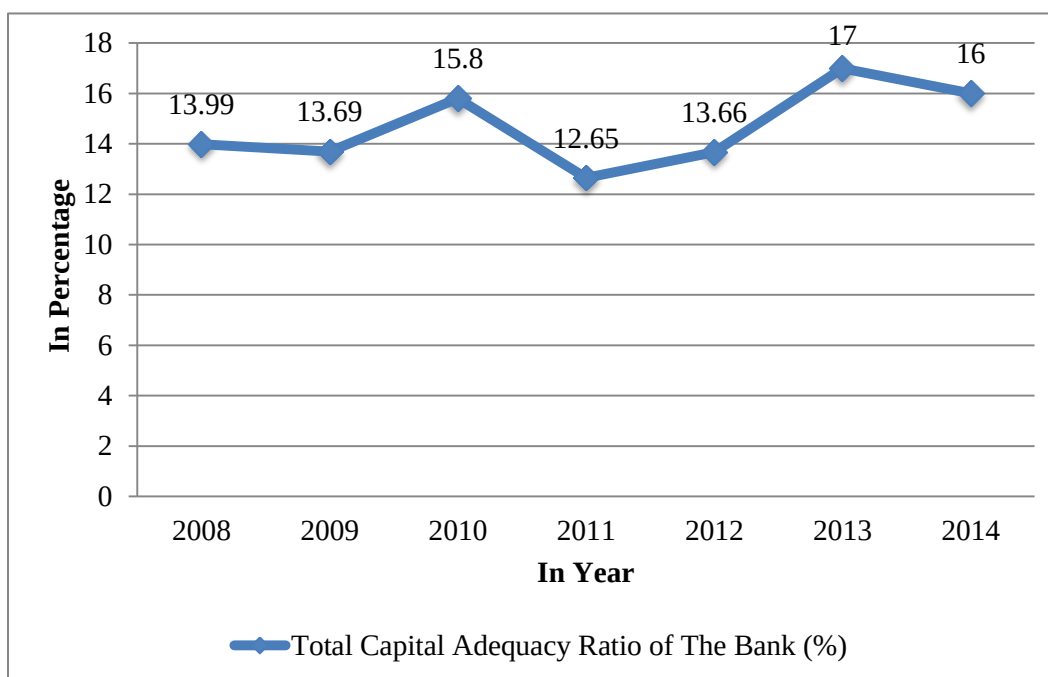


Figure V Debt to Equity Ratio (times)

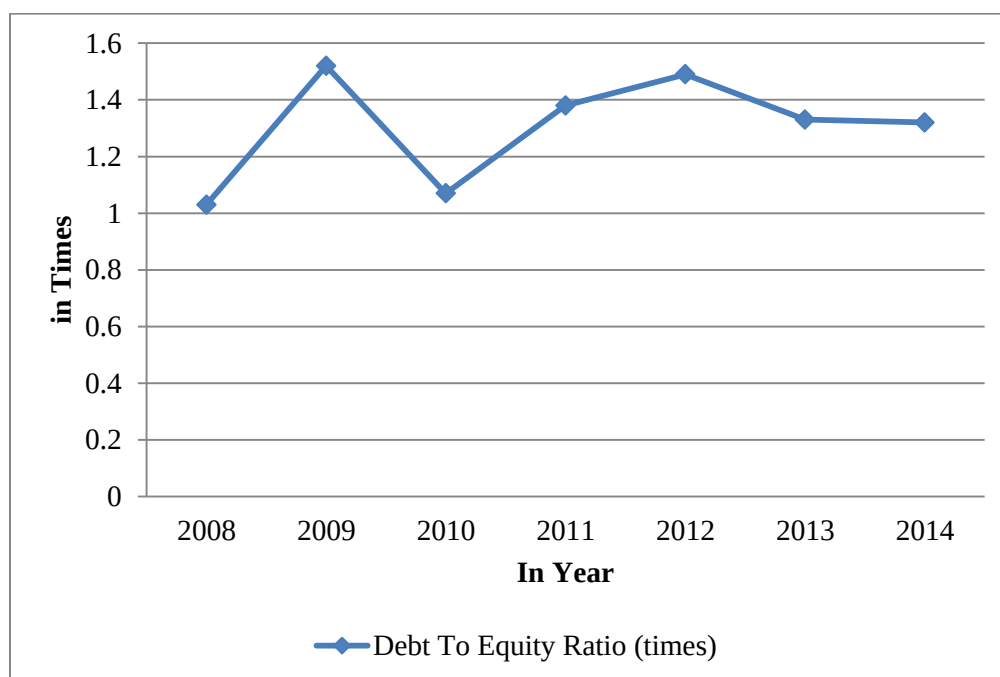


Figure VI Return on Assets

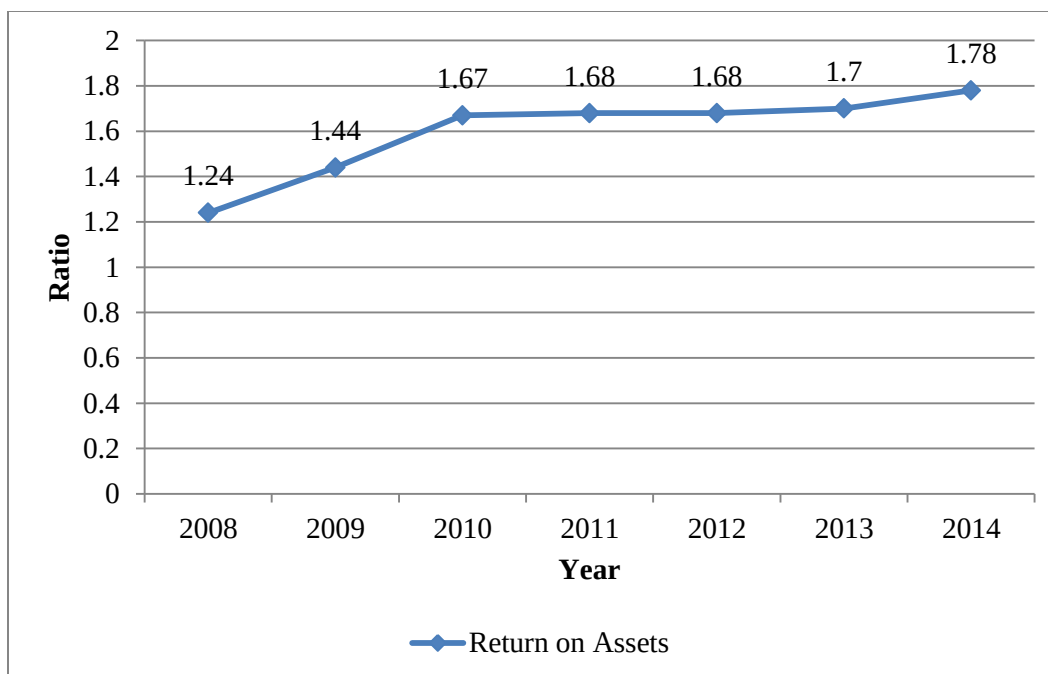


Figure VII Net Non-Performing Assets (NNPA) To Net Advances (in per cent)

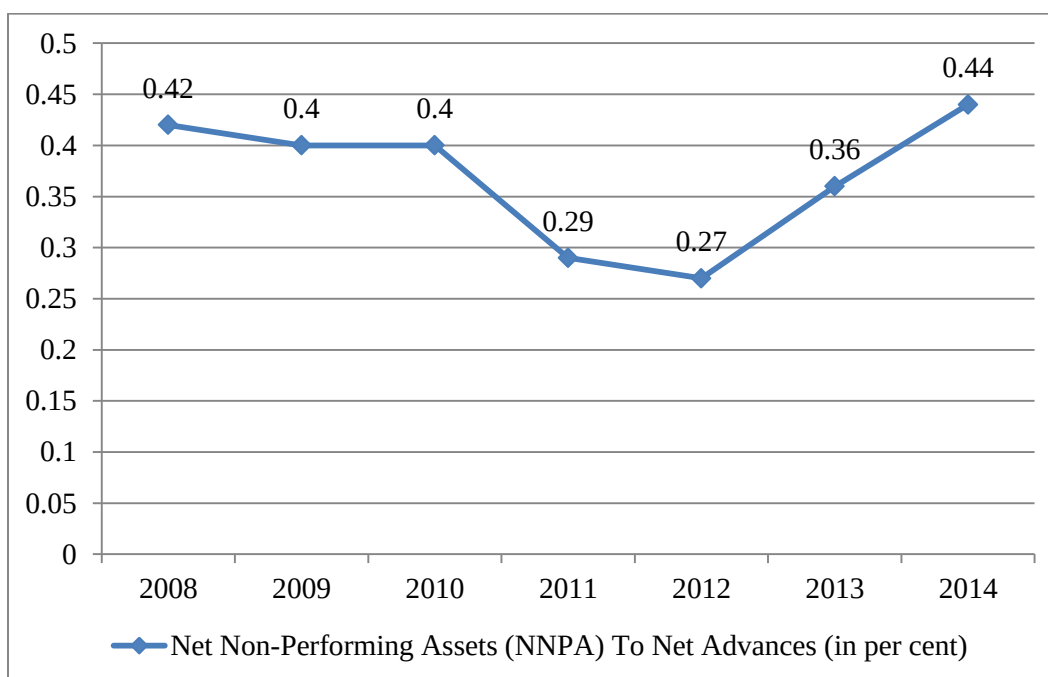


Figure VIII Profit/Loss per Employee

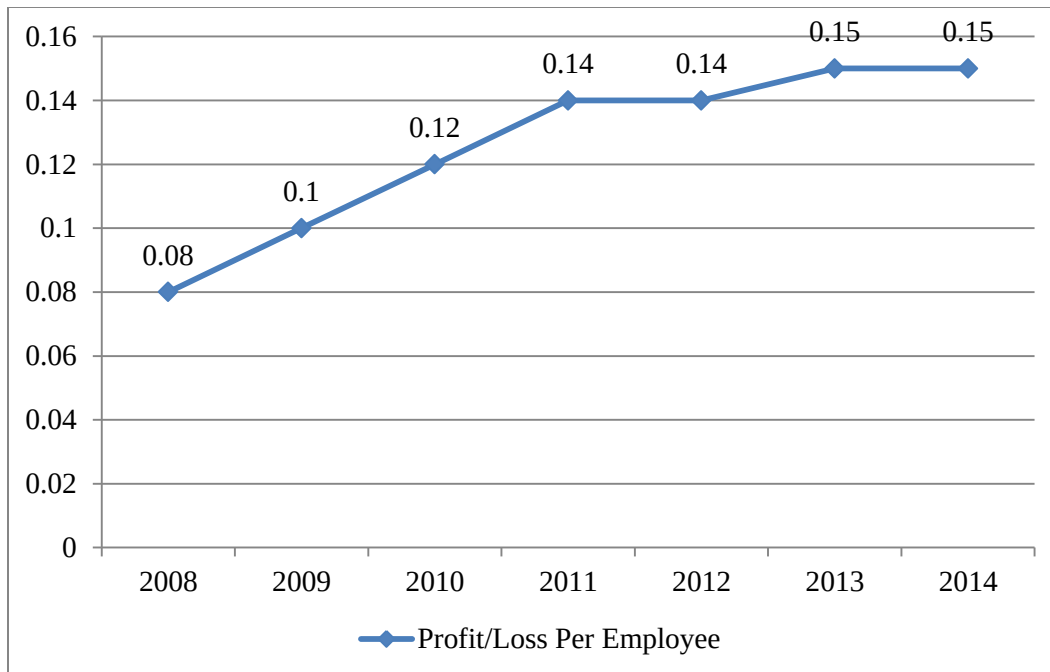


Figure IX Business (Deposits plus Advances) Per Employee

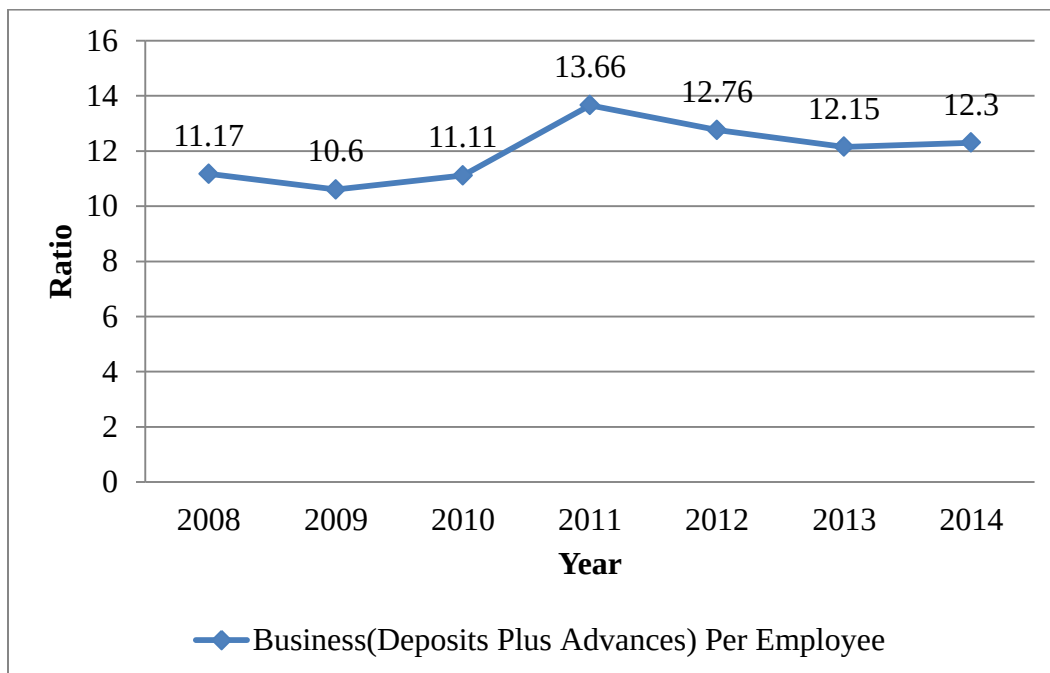


Figure X Fee Based Income as a % to Total Income

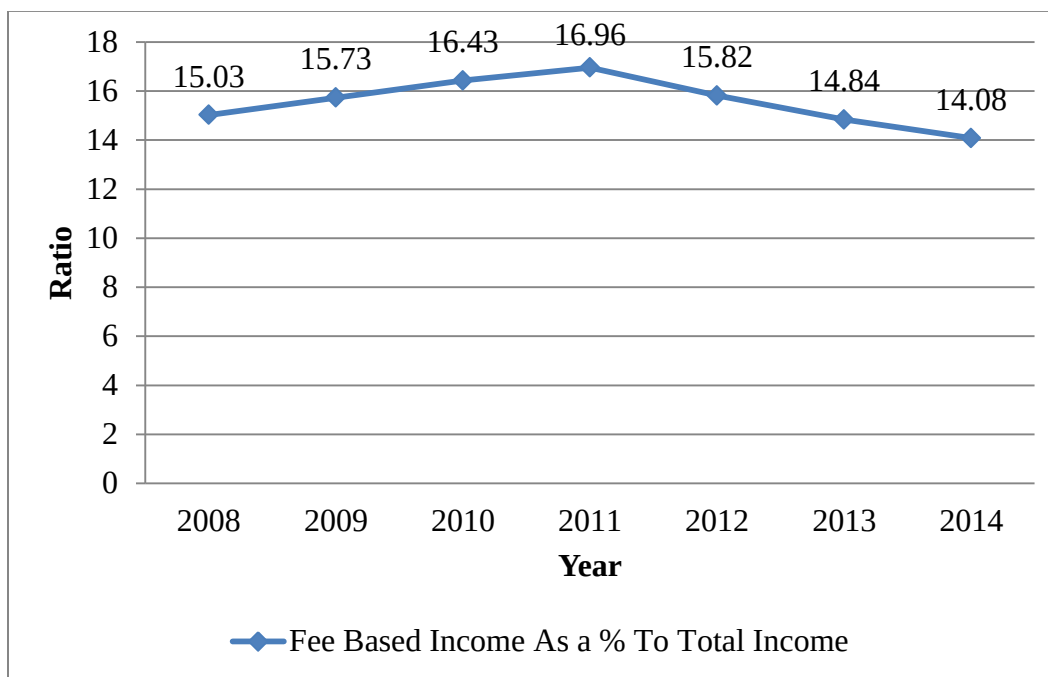


Figure XI EPS

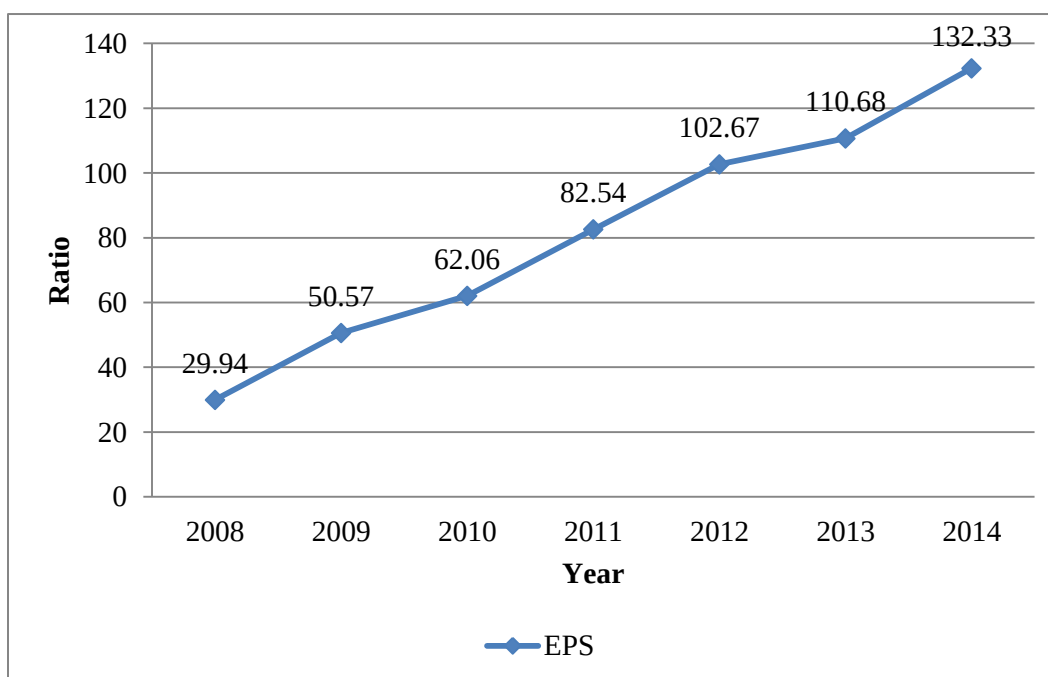


Figure XII Net Profit as % to Total Income (NPTI)

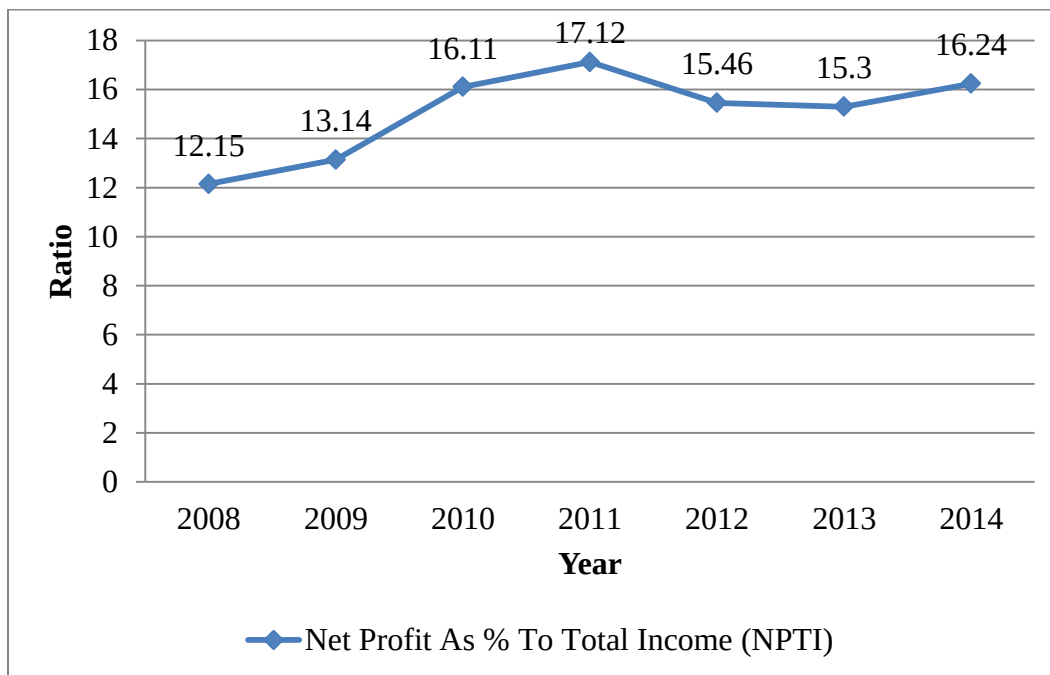


Figure XIII Interest Spread As % to Total Income (STI)

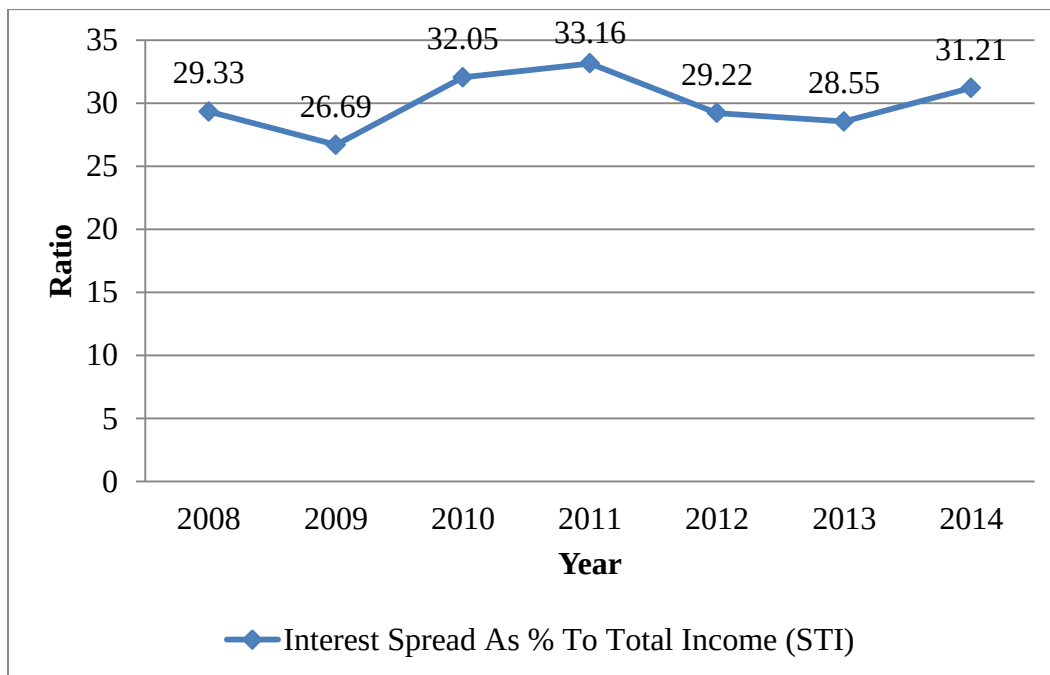


Figure XIV Current Asset as % To Current Liabilities

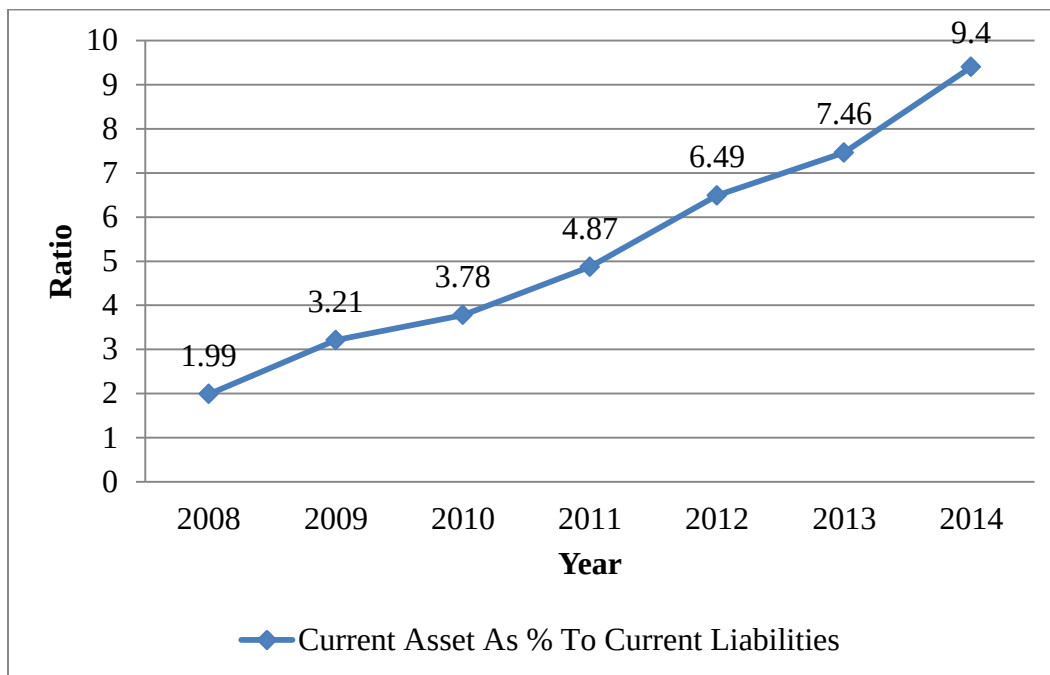


Figure XV Liquid Assets To Current Liabilities

